

LNG Shipping - Quarterly Report Q1 2026

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Summary

Looking back on Q1, it is difficult to recall developments from the first two-thirds of the quarter, as the period is overwhelmingly defined by the war in the Middle East and the large share of LNG volumes trapped in the Gulf. That said, the first two months were initially characterized by a typical post-winter demand drop and clear shipping oversupply.

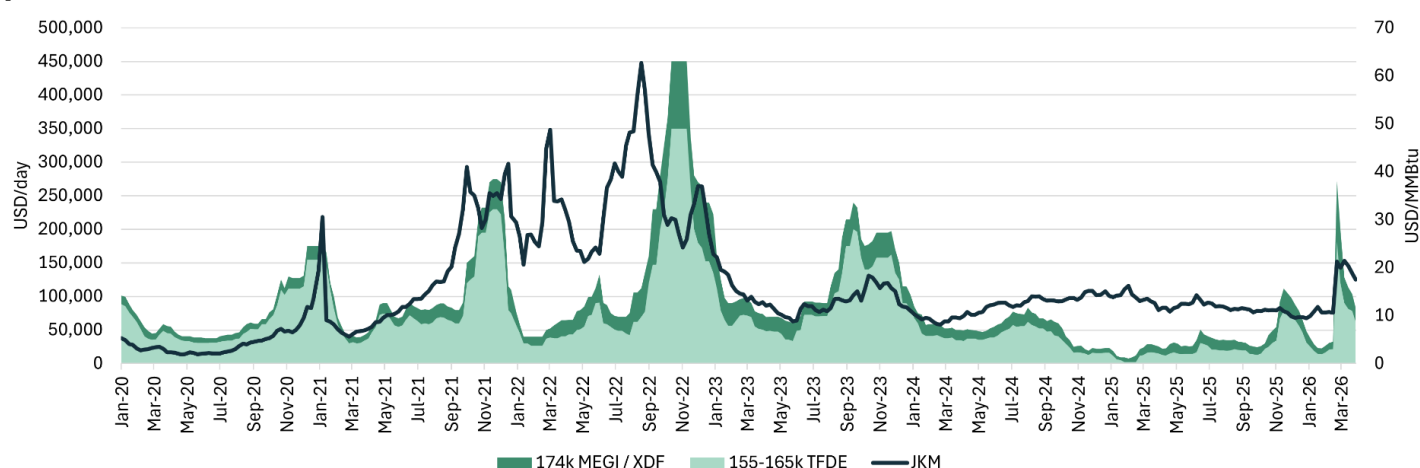
This dynamic shifted abruptly following the U.S./Israeli attack on Iran and the effective closure of the Strait of Hormuz, which trapped close to one fifth of global LNG volumes. While, in theory, a loss of cargoes should be negative for shipping demand—implying more vessels chasing fewer cargoes—the elevated uncertainty and sharp increase in gas prices tended to support LNG shipping rates. In addition, Middle East LNG predominantly supplies Asian buyers, and expectations that U.S. LNG would need to move to Asia to replace this supply underpinned tonne-mile demand.

Initially, the loss of volumes did not translate into increased vessel availability through sublets, suggesting a “wait-and-see” approach by market participants. Spot rates reacted immediately, rising above USD 250,000/day for modern two-stroke vessels. As it became clearer that the disruption would persist, some vessels earmarked for Middle East loadings were released into the spot market, leading to a correction in rates.

The market took another turn following the direct attack on Ras Laffan. Rates again spiked, although within days spot rates normalized to levels broadly in line with those seen prior to the attack, albeit still elevated. It was subsequently confirmed that two of the 14 trains were damaged and would be offline for several years. It is reasonable to expect that the current situation and infrastructure damage will result in further delays to the North Field Expansion, which is planned to add 66 MTPA of liquefaction capacity over the next five years. Delays to at least 2027 have already been announced.

Separately, Venture Global reached FID on Phase 2 of the CP2 project, adding a further 14 MTPA of liquefaction capacity from 2030 onwards. On the fleet side, 18 LNG carriers were delivered during Q1, while 33 newbuild orders were placed.

Spot charter rates and JKM



Source: JKM from S&P Global Platts

Charter Rates

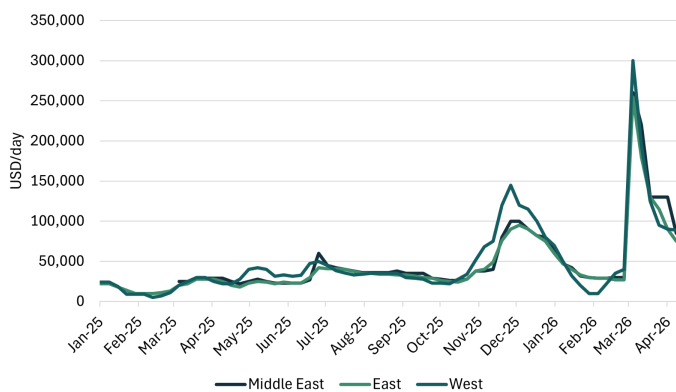
Charter rates began to decline from their winter peak in early December and had by January eased to the high USD 40k/day range for two-stroke vessels. By early February, rates had fallen further into the low USD 20k/day range, where they ultimately bottomed out.

Over the course of February, regional market dynamics diverged. The Far East and Middle East effectively disconnected from the Atlantic basin: cold weather and operational disruptions lifted rates in the West, while competition remained intense in the Pacific. As a result, two-stroke spot charter rates ended February at around USD 40k/day in the Atlantic and USD 27k/day in the Pacific.

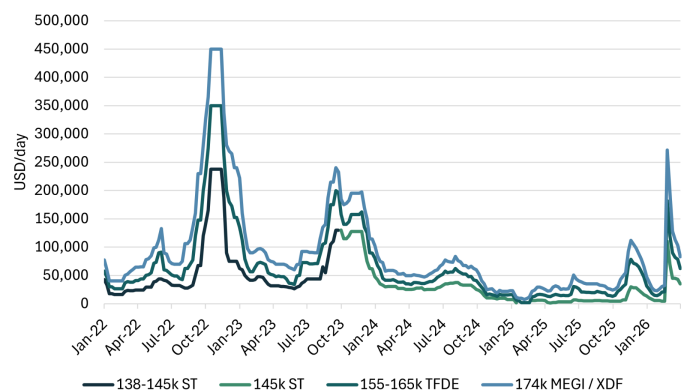
February to March saw the largest month-on-month increase in average rates on record, with two-stroke spot earnings surging from USD 28k/day to USD 178k/day. As a result, the quarterly average settled at around USD 80k/day—well above levels seen a year earlier.

Term rates were also lifted by the geopolitical developments. One-year charter rates jumped week-on-week from the low USD 40k/day range to around USD 100k/day. This marked the first time since end-2023 that 1-year rates have traded above 3-year rates, following an extended period of market contango where longer-term coverage commanded a premium. While 1-year rates have since retraced from their initial peak, they remain elevated. Longer-term rates (3–7 years) have edged higher as strengthening near-term fundamentals spill over.

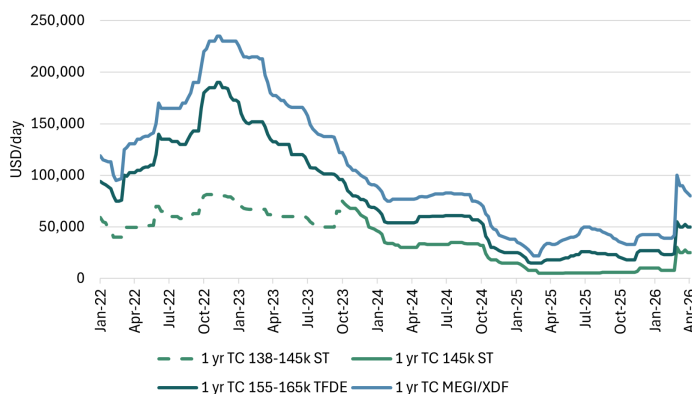
Two-stroke spot charter rates by region



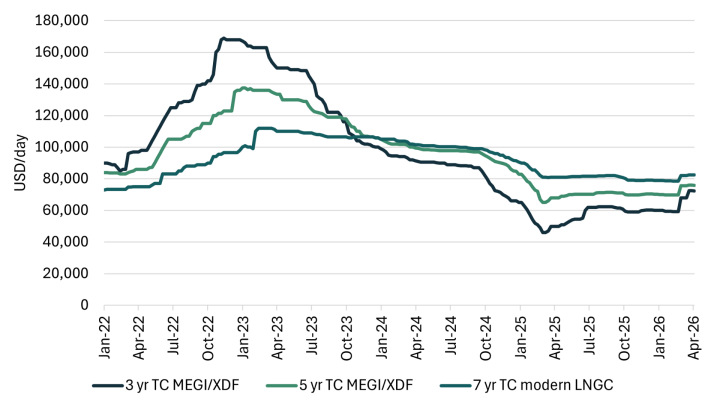
Average spot charter rates



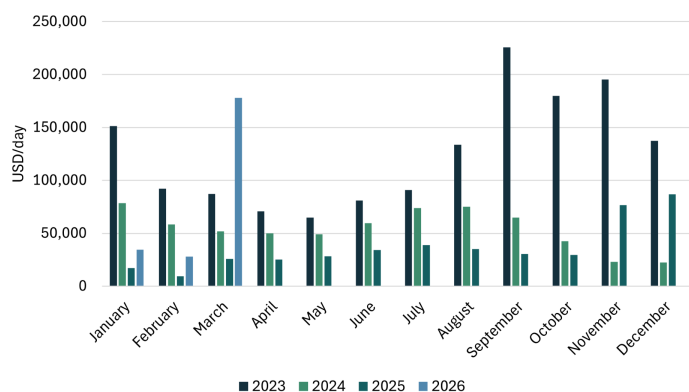
1-year charter rates



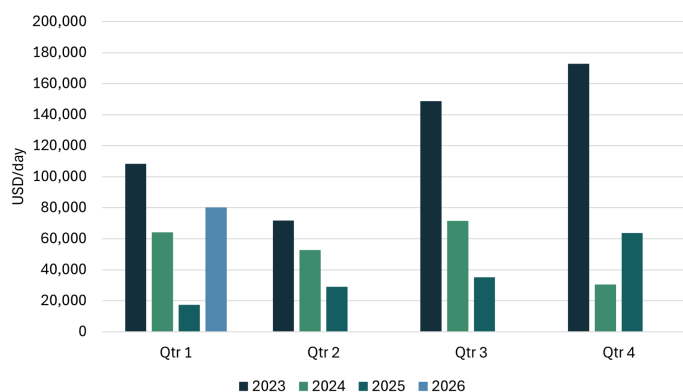
Term charter rates (two-stroke)



Monthly spot charter rates



Quarterly spot charter rates



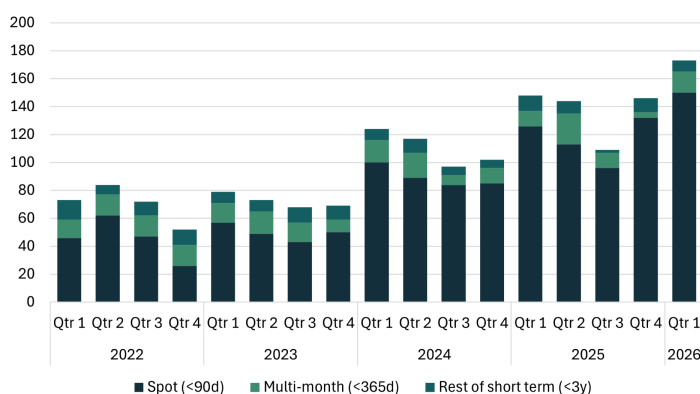
Chartering Activity

A new record for fixing activity was set in Q1, with 150 spot fixtures concluded. This surpassed the previous record of 126 spot fixtures recorded in Q1 last year, representing a year-on-year increase of 19%—well above the 11% growth in the fleet over the same period. In contrast, total fixed days in the Q1 spot market rose by only 6% year on year, indicating materially shorter fixture durations than last year.

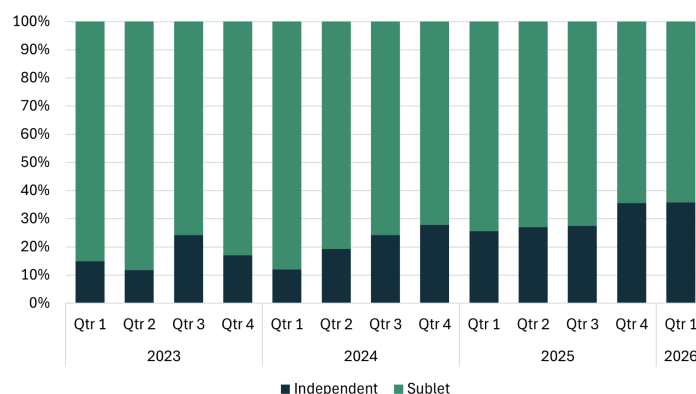
Spot activity has trended higher since 2023, driven by increased sublet willingness as gas prices declined and shipping oversupply grew. Similar to the reaction seen during the gas price spikes following the war in Ukraine, sublet willingness again declined as gas prices rose amid the war in Iran. This time, however, fixture activity continued to increase. This can be explained by a shift in market structure: independent owners now control a larger share of the availability list than in recent years and, unlike portfolio players, have limited incentive to withhold tonnage for optionality. In addition, some vessels that would normally trade Middle East cargoes—now disrupted—were made available to the spot market. As a result, despite reduced sublet willingness from portfolio players, overall availability remained high and supported strong fixture activity.

Liquidity in the one-year market was the strongest since Q1 2022, with seven one-year fixtures concluded. All but one involved two-stroke vessels, and all but two were sublets. The majority of these deals were concluded in March, suggesting that heightened uncertainty prompted charterers to secure tonnage ahead of winter, mitigating exposure to potential seasonal peaks in spot rates. At the longer end, one three-year and one five-year deal were concluded, both for two-stroke vessels from independent owners. Reflecting the strong pace of newbuild ordering in Q1, a notable number of long-term contracts in the 7–15-year range were also signed during the quarter.

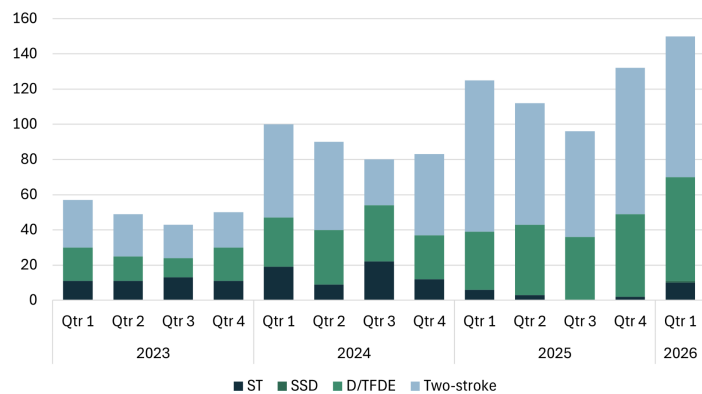
Short-term fixture activity (< 3 years)



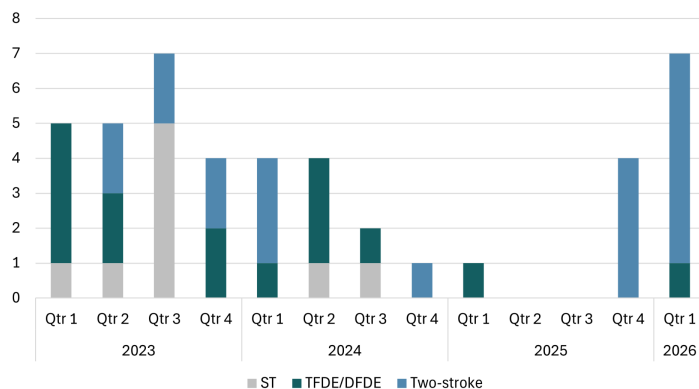
Short term fixtures by sublet vs independent owners



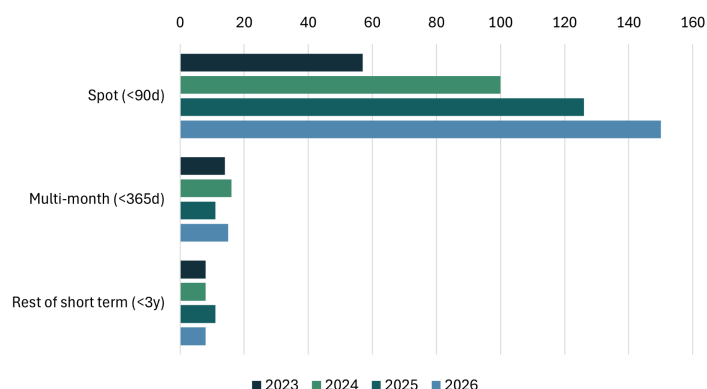
Spot fixtures by propulsion



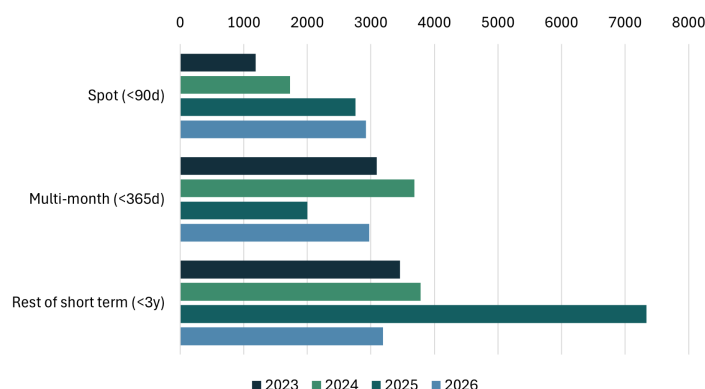
1-year deals by propulsion



Short-term fixtures in Q1 (count)



Short-term fixtures in Q1 (fixed days)



Trade Flows

Q4 2025 closed at record-high traded volumes, followed by another record in January. With several projects scheduled to lift first cargoes in Q1, the outlook initially pointed to yet another quarterly record, despite entering the shoulder-season months. However, with the loss of roughly one-fifth of global LNG supply, March loadings fell to their lowest level in four years. Total Q1 loadings reached 117 MT, down 3 MT from 120 MT in Q4.

Qatar naturally saw the largest decline, with exports down 6.8 MT year on year. This was largely offset by the United States, where exports increased by 7.8 MT year on year. Despite cyclone-related outages toward the end of the quarter, Australian exports rose by nearly 1 MT year on year, supported by a handful of cargoes loaded from the newly commissioned Barossa LNG project (Darwin).

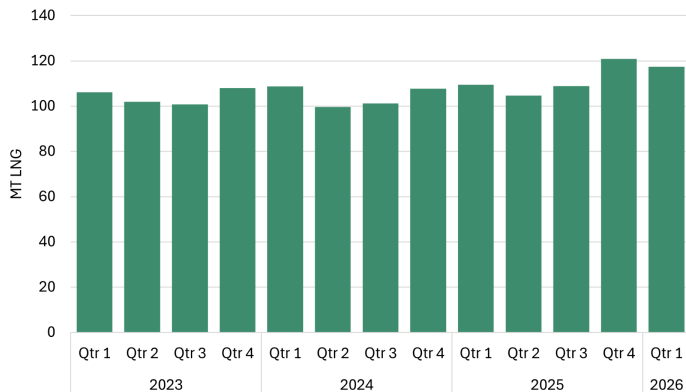
On the demand side, Egypt, Germany and South Korea recorded the largest year-on-year import increases, while France, Kuwait and China saw the steepest declines. India and Bangladesh—who last year sourced 46% and 60% of their LNG imports from Qatar, respectively—both increased quarterly imports year on year. In contrast, Pakistan, which sources almost all of its LNG from Qatar, reduced quarterly imports by 0.35 MT, equivalent to a 20% decline. China continued to scale back imports, with volumes down 0.6 MT, or 3.6%, compared with Q1 last year. Actual consumption may have fallen even more, as reload activity from China reached a new record in March, with nine cargoes re-exported.

Qatar primarily supplies the Asian market, and lost Qatari volumes cannot easily be replaced by other exporters within the region. Despite this structural constraint, flexible volumes from the United States continued to flow to Europe, with 76% of US LNG volumes heading to Europe in March and 77% over the full Q1 period.

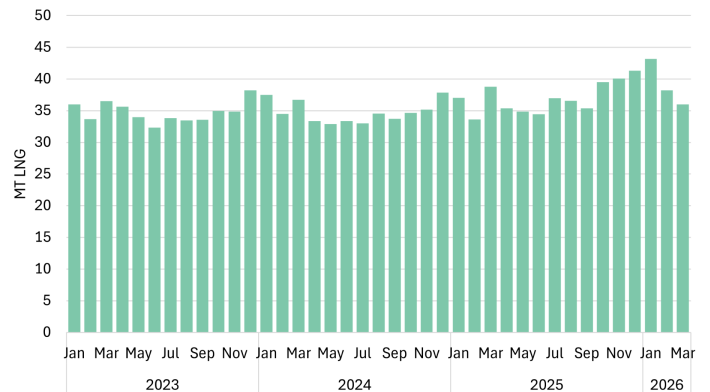
Following record-high loadings in January, Q1 tonne-miles exceeded levels seen in previous years. On a monthly basis, however, the decline from January into February and March was substantial, driven by both lower volumes and shorter

voyage distances. While quarterly tonne-miles rose by 3% year on year, this was well below the 10% increase in fleet size, leaving the fleet underutilised on a fundamental basis. Idling reached unprecedented levels, with nearly 40 steam turbine and D/TFDE vessels recorded as idle.

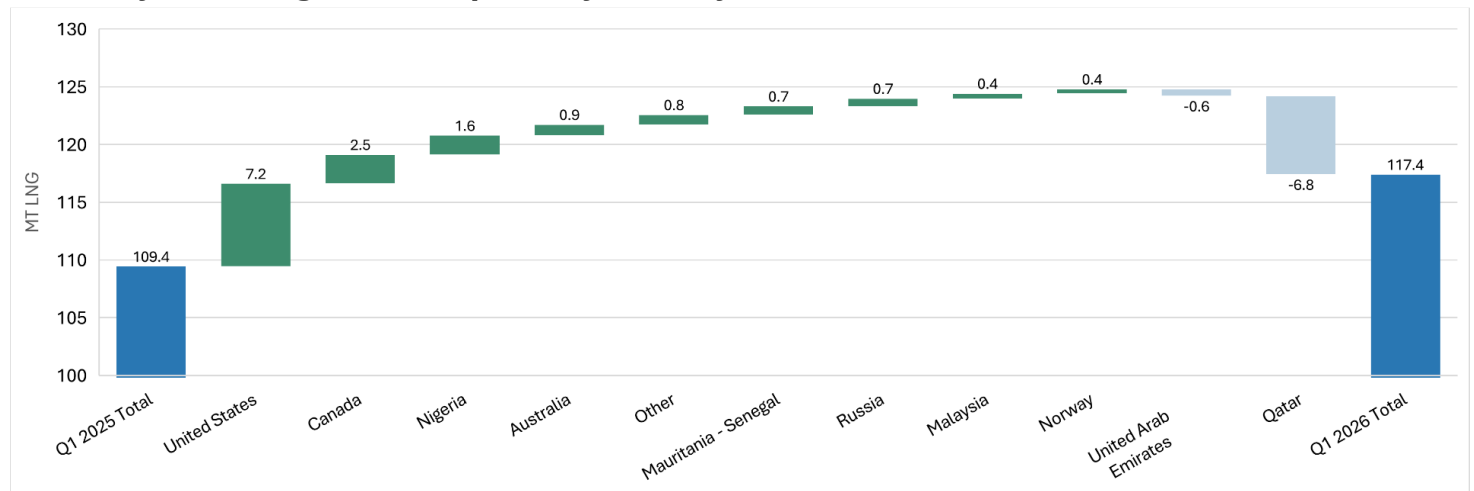
Quarterly loaded LNG



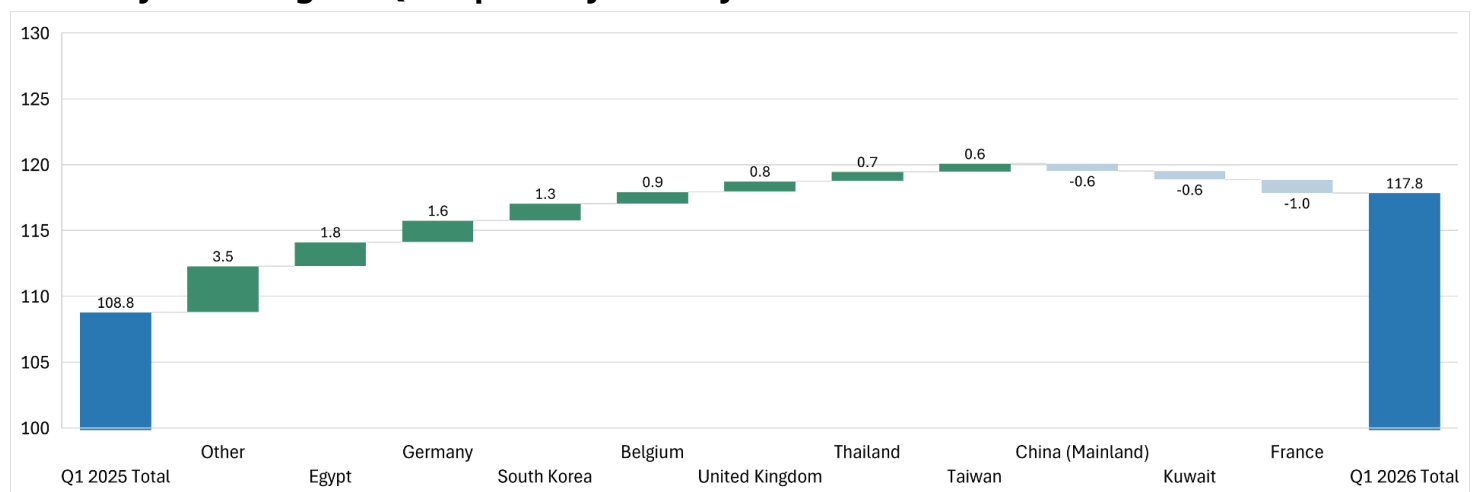
Monthly loaded LNG



Year on year change in Q1 exports by country

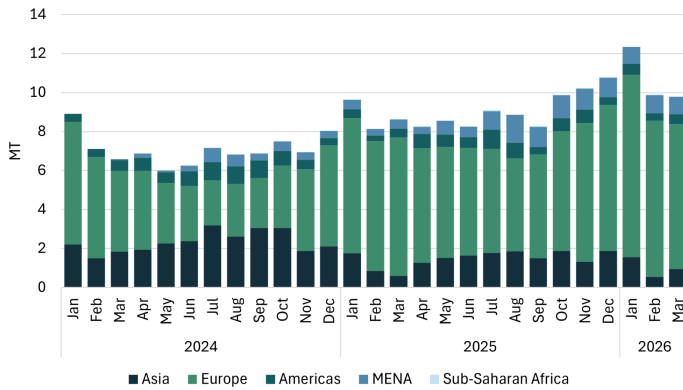


Year on year change in Q1 imports by country

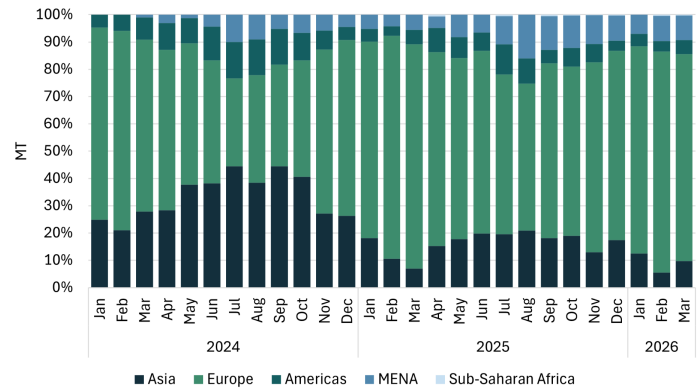


Source: S&P Global Energy

Destination of US LNG

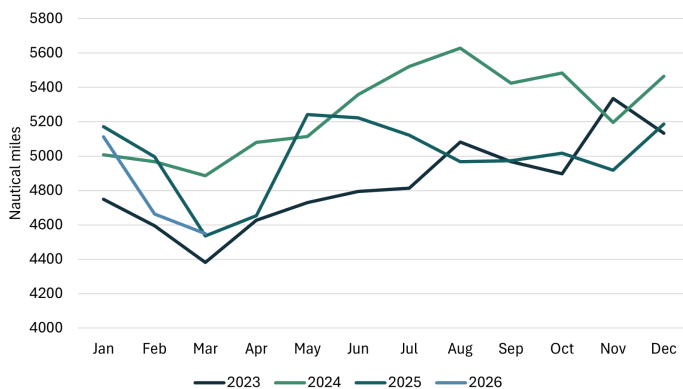


Destination of US LNG, share

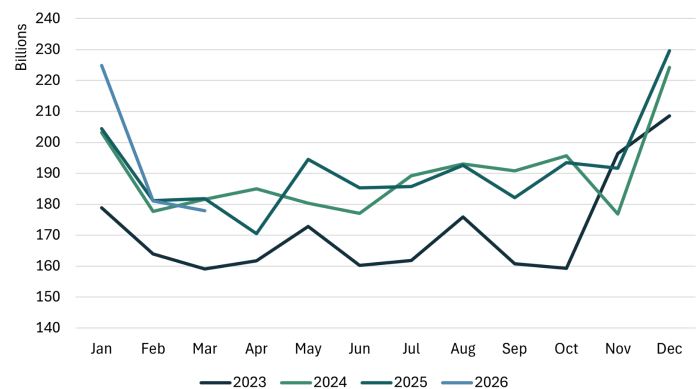


Source: S&P Global Energy

Average fleet distance (laden)



Tonne-miles



Source: Vortexa

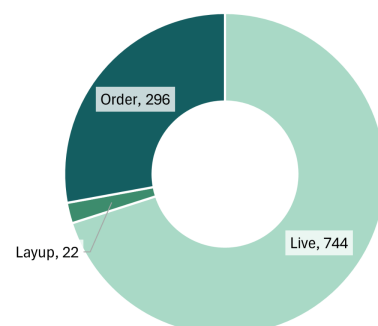
LNGC Fleet

The live LNG carrier fleet currently stands at 744 vessels. With an orderbook of 296 ships, this implies an orderbook-to-fleet ratio of around 40%. Twenty-two vessels are officially recorded as being in lay-up, while a number of additional ships have effectively been idle for an extended period. New ordering activity accelerated further in Q1, with 33 vessels contracted—already exceeding the total number of orders placed during the entirety of 2025 (32 vessels).

Newbuild deliveries slowed in Q1, with only 18 LNG carriers delivered, down from a peak of 23 deliveries in Q4 2025. This leaves 74 vessels scheduled for delivery over the remaining quarters of the year, equivalent to almost 25 vessels per quarter.

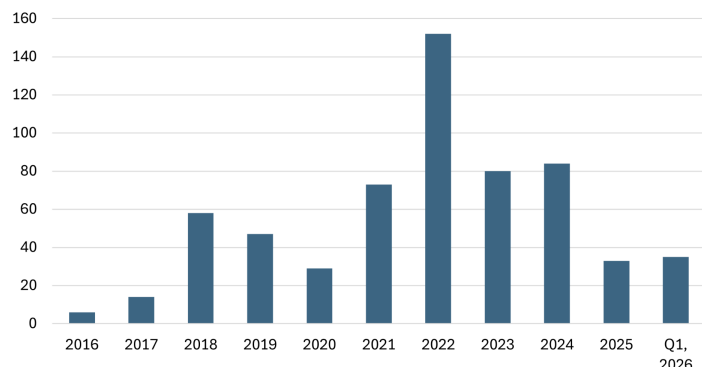
Four vessels were sold for scrap in Q1: three from MISC and one from Seapeak. All four were built in 2004–2005, implying demolition ages of approximately 21–22 years. This supports the emerging trend toward younger demolitions, as steam turbine vessels below 140 kcbm face increasingly limited charter prospects.

LNGC fleet by status

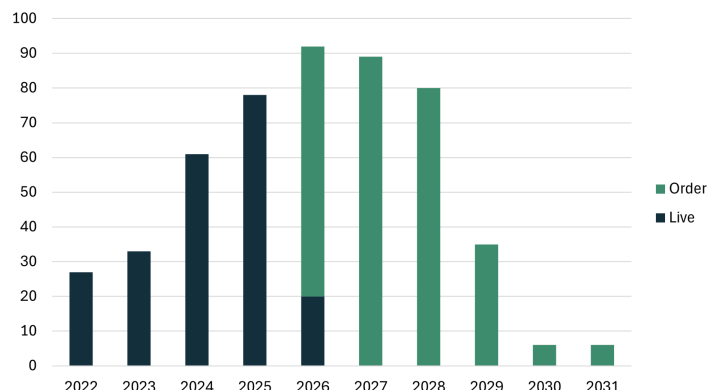


The LNG carrier fleet still contains around 60 vessels in the 120–140 kcbm size segment. All but two of these units are already over 20 years old, underscoring the continued need for structural fleet renewal. While recent market volatility has temporarily lifted earnings for steam turbine tonnage, fundamental conditions remain oversupplied. As a result, the decision to proceed with costly drydockings for smaller steamers has not become a clear “no-brainer,” despite the recent spike in charter rates.

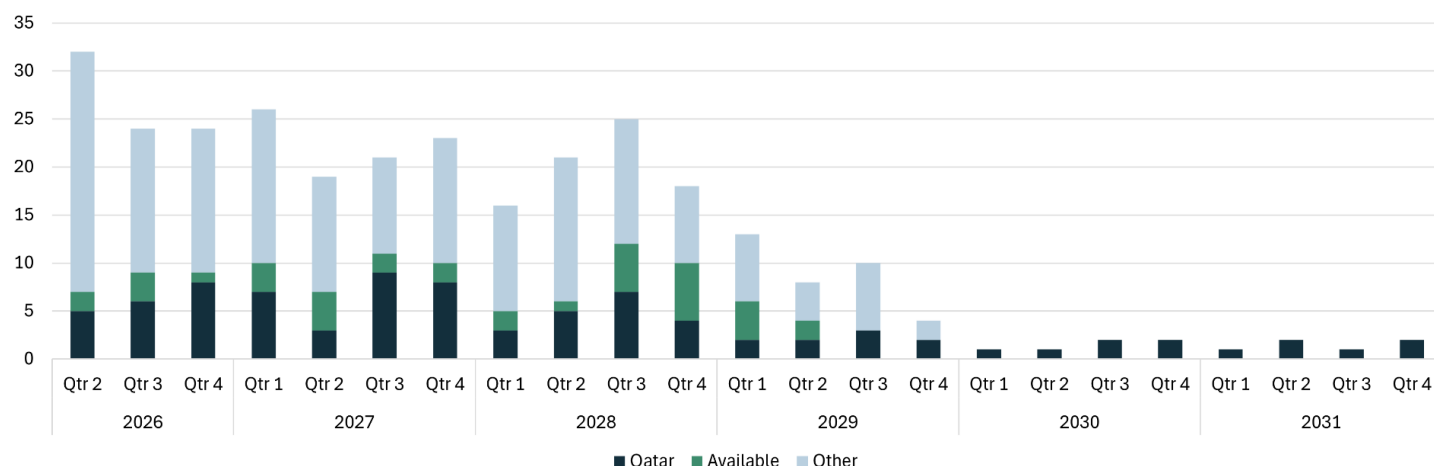
LNGC orders



LNGC deliveries



LNGC orderbook by category



Outlook

The LNG shipping market tends to react strongly to periods of uncertainty, even when underlying fundamentals point in a different direction. A clear parallel can be drawn to 2022, when Europe lost Russian pipeline gas and gas prices spiked. This led to increased US-to-Europe flows, which ultimately reduced shipping demand from a tonne-mile perspective. However, elevated cargo values outweighed this effect, as shipping costs represented only a marginal share of total cargo value.

A similar dynamic is playing out today. Cargo values and charter rates have again spiked, while roughly 20% of global LNG supply disappeared almost overnight, significantly lowering underlying shipping demand. This has occurred in parallel with rising vessel supply: the dedicated Qatari fleet is already substantial, and 128 vessels have been ordered by QatarEnergy (for the North Field Expansion and Golden Pass), of which 42 have already been delivered. While some offset from longer US-to-Asia voyages was expected, it would require an unrealistically large share of volumes to move eastbound to compensate for the loss of Qatari tonnes.

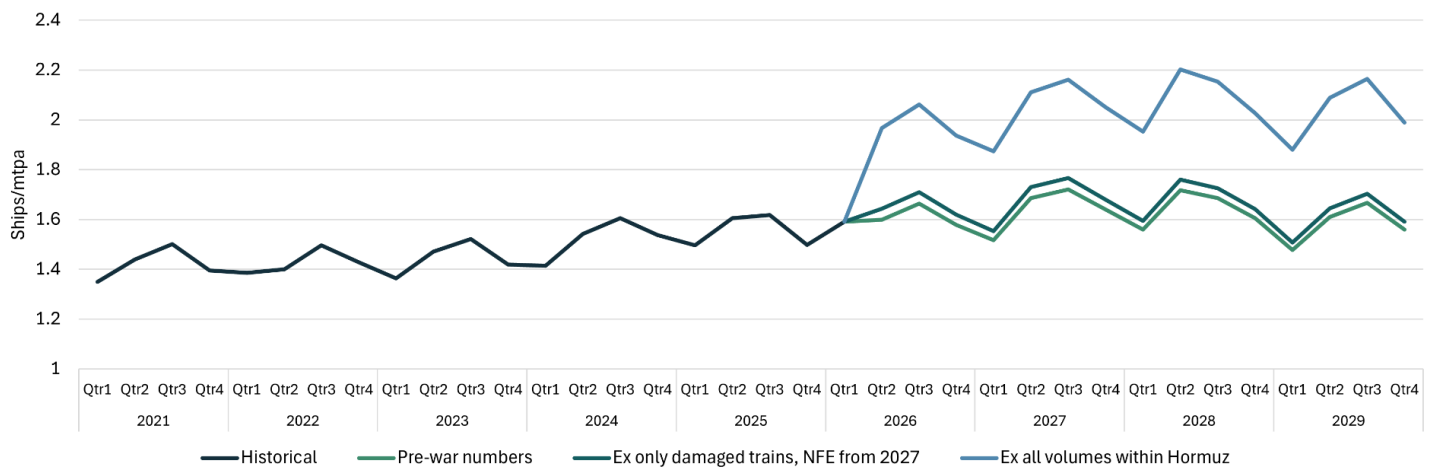
If the disruption in the Strait of Hormuz persists and a restart of production takes time, Asia would need to backfill part of the lost volumes from other regions, as fuel switching and demand destruction cannot absorb all the shortfall. This would imply a higher share of US-to-Asia flows, and some tightening of the shipping market as it heads into winter. So,

the near-term impact has been bullish for LNG shipping, and trade flow changes may generate incremental demand, the broader fundamentals have, overall, weakened.

The two damaged trains at Ras Laffan, representing 12.8 MTPA of capacity, are not expected to return for 3–5 years, according to QatarEnergy. From a shipping perspective, this is marginal compared with the broader implications of delays to the North Field Expansion, which is scheduled to add 66 MTPA of liquefaction capacity over the next five years. A delay from 2026 to 2027 has already been announced, and further slippage cannot be ruled out. We have previously forecast an oversupplied LNG shipping market in 2026–2027, and that assessment remains unchanged. While tightening had been expected toward late 2028 and into 2029, further delays to the Qatar expansion—combined with project-linked vessels delivering on schedule and entering the spot market—would likely push any meaningful tightening into the early 2030s.

All eyes are now on the reopening of the Strait of Hormuz and the return of flows from non-damaged Qatari trains, as well as further clarity on the start-up timeline for the North Field Expansion.

Ships in fleet per MTPA of global LNG supply, scenarios





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